



Final Project Submission

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ACCT-5107

Analysis of Financial Statements

Final Paper Morgan Stanley

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Submitted Date – 12/03/2022

Abstract

This paper analyzes Morgan Stanley (MS), a publicly traded company, and provides an overview of its key services. This paper outlines the company's operational areas and target market. A review of MS's 2021 Annual Reports, which include the consolidated of income statement, balance sheet, statement of cash flows, and other documents for the fiscal years ended December 31, 2021, December 31, 2020, and December 31, 2019, are also included in the paper. In addition, this paper analyzes and assesses MS's financial statements and management's discussion and analysis (MD&A) of financial condition and results of operations using key financial indicators, such as analysis of short-term (operating) activity and long-term (investment) activity, liquidity, solvency, and profitability ratios, in order to assess the company's financial performance, health, and value and forecast future earnings (growth).

Keywords: Morgan Stanley (MS), Balance Sheet, Income Statement, Statement of Cash flow, gross margin, EBITDA (Earnings Before Interest, Taxes, Depreciation and Amortization), Operating (Profit) Margin, Price to Sales (P/S), Price to Free Cash Flows (P/FCF), Price to Cash Flow (P/CF), Quick Ratio, Current Ratio, Price to Book (P/B)

Table of Contents

Abstract	2
Executive summary	5
Financial Performance and Health	9
Key Goods and Services	9
Business Organization	9
Recent Financial Performance	10
Assessment of Morgan Stanley's Income Statement	10
Assessment of Morgan Stanley's Statement of Cash Flows	12
Morgan Stanley's Financial Performance	13
Current Financial Health	14
Assessment of Morgan Stanley's Capitalization	14
Assessment of Morgan Stanley Growth	15
Morgan Stanley's Financial Value	16
Key Success Factors and Risks	18
Financial and Strategic Priorities	18
Success Factors and Risks	20
Key Non-financial Success Factors	20
Key Internal Risks.....	23

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

Morgan Stanley Financial Projections and Analysis	26
Projections	28
Projection: Best-case and Worst-case scenarios	30
Business opportunity	32
Investment features	32
Cost and Benefits	33
References	34
Appendix A – Selected Tables	36
Appendix B – Current Market Conditions	38
Appendix C –Selected Graphs	39
Appendix D – Consolidated Statement of Income Statement.....	41
Appendix E – Consolidated Balance Sheet.....	42
Appendix F – Consolidated Statement of Cash Flow	43
Appendix G - Revenue Breakdown by segment	44
Appendix H – Three-year financial projections	44
Appendix I – Quarterly comparison of Income statement	45
Appendix J – Third quarter comparison 2022 and 2021	46
Appendix K – Revenue and Net income projections for three years	46
Appendix L – Future growth projections by analysts	47
Appendix M - Best-Case Projected Statement of Income	47

Executive Summary

Mission: Morgan Stanley has five core values - **Do the Right Thing** i.e., Act with integrity, think like an owner to create long-term shareholder value, Value and reward honesty and character. **Put Clients First** i.e., Keep the client's interests first, Work with colleagues to deliver the best of the Firm to every client and listen to what the client is saying and needs. **Lead with Exceptional Ideas** i.e., Win by breaking new ground, leverage different perspectives to gain new insight, Drive innovation and be vigilant about what we can do better. **Commit to Diversity & Inclusion** i.e., Value individual and cultural differences as a defining strength, Champion an environment where all employees feel a sense of belonging—are heard, seen and respected, expect everyone to challenge behavior counter to our culture of inclusion and attract, develop, and retain talent reflecting the full diversity of society. **Give Back** i.e., Serve our communities generously with our expertise, time and money, build a better firm for the future by contributing to our culture and develop our talent through mentoring and sponsorship

Business Description: Morgan Stanley (NYSE: MS) is an American multinational investment management and financial services company headquartered at 1585 Broadway in Midtown Manhattan, New York City. With offices in more than 41 countries and more than 75,000 employees, the firm's clients include corporations, governments, institutions, and individuals. Morgan Stanley ranked No. 61 in the 2021 Fortune 500 list of the largest United States corporations by total revenue. The main areas of business for the firm today are institutional securities, wealth management and investment management.

Company Background: The original Morgan Stanley, formed by J.P. Morgan & Co. partners Henry Sturgis Morgan (a grandson of J.P. Morgan), Harold Stanley, and others, came into existence on September 16, 1935, in response to the Glass–Steagall Act, which

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

required the splitting of American commercial and investment banking businesses. In its first year, the company operated with a 24% market share (US\$1.1 billion) in public offerings and private placements.

The current Morgan Stanley is the result of the merger of the original Morgan Stanley with Dean Witter Discover & Co. in 1997. Dean Witter's Chairman and CEO, Philip J. Purcell, became the Chairman and CEO of the newly merged "Morgan Stanley Dean Witter Discover & Co." The new firm changed its name back to "Morgan Stanley" in 2001.

Services

- **Wealth Management:** Morgan Stanley helps people, businesses and institutions build, preserve, and manage wealth so they can pursue their financial goals.
- **Investment Banking & Capital Markets:** Corporations, organizations, and governments rely on Morgan Stanley as a global leader in investment banking. They advise clients on transactions including mergers, acquisitions, restructurings, initial public offerings (IPOs), convertibles, share repurchases, debt offerings, derivatives and more.
- **Research:** With global reach, a collaborative culture and a product suite that targets client needs, Morgan Stanley's 600+ analysts, strategists and economists provide alpha-generating market analysis and investment research.
- **Investment Management:** Morgan Stanley strives to provide outstanding long-term investment performance, service and a comprehensive suite of investment management solutions to a diverse client base, which includes governments, institutional investors, corporations and individuals worldwide.

Markets: Morgan Stanley's services are available in 42 countries.

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Recent Acquisitions: E*TRADE (2020) - E*TRADE Web offers free streaming market data, free real-time quotes, live market commentary, analyst research stock screeners and more. From the dashboard, you can track your accounts, create watch lists, view market data and make trades, including complex options strategies.

Eaton Vance (2021) - Eaton Vance provides investment products to individuals, institutions and financial professionals in the US, including wealth management, defined contribution investment only and sub-advisory services.

Industry: Investment Banking

Competition: Goldman Sachs (Major competitor)

Financial Performance:

- **\$60 billion** net revenue, 2021
- **\$4.2 billion** cash dividends, 2021
- **\$12 billion** common stock Repurchases, 2021
- **\$31.663 billion** free cash flow, 2021
- **EPS for 2021 is \$8.03**, a 24.3% increase from 2020

Credit Rating: Standard & Poor's – (Short term) A- (Long term) A-

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

Recommendation: Morgan Stanley offers a fantastic investment opportunity with steady dividend payments and growth. Recommend buy shares of MS

- Current Stock price, MS (NYSE) \$92.10 (02 December 2, 2022)
- P/E 13.37
- Volume 6.72M
- Market Cap 155.66B USD

Financial Performance and Health

Key Good and Services

Morgan Stanley traded as MS in NYSE has a market capital of 149.12B as on 09/07/2022. In 2021, the company had \$1.188 Billion in Total Assets, \$1.081 Billion in Total Liabilities and 106 million in Total Equity and net revenues of \$60 billion in 2021.

The key services provided by the company are Wealth management in which they help people, businesses and institutions build, preserve and manage wealth to pursue their financial goals. Investment Banking in which Corporations, organizations, and governments rely on Morgan Stanley as a global leader. They advise clients on transactions including mergers, acquisitions, restructurings, initial public offerings (IPOs), convertibles, share repurchases, debt offerings, derivatives and more. And Investment Management for governments, institutional investors, corporations, and individuals worldwide.

Business Organization

Revenues and expenses directly associated with each respective business segment are included in determining its operating results. Other revenues and expenses that are not directly attributable to a particular business segment are generally allocated based on each business segment's respective net revenues, non-interest expenses or other relevant measures. The company prepares their financial statements using U.S. GAAP. However, from time to time, they may disclose certain "non-GAAP financial measures.

The company is organized in 3 divisions are as follows:

Institutional Securities Group

Morgan Stanley's Institutional Securities is the most profitable business segment. This business segment provides institutions with services such as capital raising and financial advisory services including mergers and acquisitions, advisory, restructurings, real estate and project finance, and corporate lending.

Wealth Management

The Global Wealth Management Group provides stockbrokerage and investment advisory services. This segment provides financial and wealth planning services to its clients, who are primarily high-net-worth individuals.

Investment Management

Investment Management provides asset management products and services in equity, fixed income, alternative investments, real estate investment, and private equity to institutional and retail clients through third-party retail distribution channels, intermediaries and Morgan Stanley's institutional distribution channel. Morgan Stanley's asset management activities were principally conducted under the Morgan Stanley and Van Kampen brands until 2009.

Recent Financial Performance

Assessment of Morgan Stanley's Income Statement

Based on Morgan Stanley's 2021 consolidated income statement, fiscal years ended December 31, 2021, December 31, 2020 and December 31, 2019, MS experienced an overall increase in net revenues from 2019 to 2021. Morgan Stanley annual revenue for 2021 was \$59.755B, a 22.56% increase from 2020 and the annual revenue for 2020 was \$48.757B, a 17.38% increase from 2019. The comparisons of current year results to prior periods were

impacted by the acquisitions of E*TRADE Financial Corporation (“E*TRADE”) and Eaton Vance Corp. (“Eaton Vance”).

Investment banking revenues of \$10,272 million in 2021 increased 43% compared with the prior year, primarily reflecting increases in advisory and equity underwriting. Net revenues of \$11,435 million in 2021 increased 15% compared with the prior year, reflecting an increase in both execution services and financing businesses, with notable strength in Asia. Net revenues of \$7,516 million in 2021 decreased 15% compared with the prior year, primarily driven by global macro products. Other Net revenues of \$610 million in 2021 increased 21% compared with the prior year, primarily driven by higher results from our Japanese joint venture, MUMSS, and lower mark-to-market losses on corporate loans held-for sale, net of related hedges, partially offset by lower gains on investments associated with certain employee deferred compensation plans. Net interest revenues of \$2,645 million in the current year period are included within Equity, Fixed Income, and Other and increased 16% compared with the prior year, primarily driven by higher balances in Equity Financing and secured lending facilities.

The comparisons of current year results to prior periods are impacted by the acquisition of E*TRADE on October 2, 2020. Asset management revenues of \$13,966 million in 2021 increased 27% compared with the prior year, primarily due to higher fee-based asset levels in the current year periods as a result of market appreciation and positive fee-based flows since the prior year. Other revenues of \$625 million in 2021 increased 51% compared with the prior year, primarily due to incremental revenues as a result of the E*TRADE acquisition. Non-interest expenses of \$18,051 million in 2021 increased 23% compared with the prior year, as a result of both higher Compensation and benefits and non-compensation expenses.

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

The comparisons of current year results to prior periods are impacted by the acquisition of Eaton Vance on March 1, 2021. Asset management and related fees of \$5,576 million in 2021 increased 85% compared with the prior year, primarily due to incremental revenues as a result of the Eaton Vance acquisition and higher average AUM driven by strong investment performance and positive net flows. Non-interest expenses of \$4,542 million in 2021 increased 59% compared with the prior year as a result of higher Non compensation expenses and higher Compensation and benefits.

Assessment of Morgan Stanley's Statement of Cash Flows

Operating activities: Companies with a high or up trending operating cash flow are generally considered to be in good financial health. Morgan Stanley's 2021 Cash Flow Statement indicates that the company is in good financial health. Morgan Stanley annual cash flow from operating activities for 2021 was \$33.971B, a 234.64% increase from 2020. During 2021, Morgan Stanley's net cash flows from operating activities was nearly \$34 billion compared to negative \$25 billion in 2020. Due to covid19 pandemic the company's operating activities were in negative however in 2021 the company issued preferred stocks with an agreement of repurchase. Additionally, Net income for the year 2021 was also higher than 2020 which contributed to the positive cash flows from operating activities.

Investing activities: Cash flows from investing activities indicates the amount of cash a company spends on capital expenditures that it needs to run the business (Early & McClure, Fundamental Analysis: The Cash Flow Statement, 2018). Cash flow from investing activities goes from an outflow of \$37.9 billion to an outflow of \$49.9 billion a 31.66% increase from 2020. This is an essential insight for an investor who is trying to get a clear sense of the magnitude of investment in order to make an intelligent forecast about future profits. Net cash flows from investing activities for Morgan Stanley shows the acquisition of Eaton

Vance. They have also invested in securities and paid off loans. The company shows growth over past year and the negative cash flows indicate that the company is investing in its future.

Financing activities: Morgan Stanley annual cash flow from financial activities for 2021 was \$41.547B, a 50.41% decline from 2020, which resulted primarily from receiving proceeds from issuance of borrowings of \$90.3 Billion, and repayment of long-term debt of \$70.1 billion. The company also paid \$4.1 Billion in cash dividends for the year. Financing activities include cash inflows and outflows associated with outside financing activities, such as cash raised by selling securities (stocks and bonds) or by borrowing cash from banks (Early & McClure, Fundamental Analysis: The Balance Sheet, 2018).

Morgan Stanley's Financial Performance

Compared to industry benchmarks and its competitor Goldman Sachs, Morgan Stanley is doing well in some profitability ratios like gross margin and Effective tax rate. However, it is not doing well in the other ratios like EBITD margin, operating margin, and pretax margin. Additionally, in the Financial Strength ratios we can see that Morgan Stanley is stronger than the industry as well as its competition. Morgan Stanley Reports Net Revenues of \$14.8 billion, EPS of \$2.02, and ROTCE of 19.8%. The net revenue of the 2022 Q1 was lower than 2021 Q1 by about 6% and EPS by about 8%, from a combination of revenue decrease and an increase in expenses. On the expense front, the efficiency ratio increased to 69%, 2% above last year's level in the same quarter, despite the firm's efforts to maintain expense discipline. In particular, investment banking revenues were down 37% from a 2021 given the record set a year earlier. The profitability is still very healthy. The firm delivered an ROE (return on equity) of 14.7% during 2022 first quarter, a bit lower than 2021, but still significantly above its historical average and also the industrial average. And ROTCE (return on tangible equity) was 19.8%(Appendix), quite an impressive level in a

volatile and uncertain market environment. MS has further diversified its revenue streams through its recent acquisitions of E*TRADE and Eaton Vance. As the integration of these acquisitions progresses, the augmented diversification will help MS to better growth despite the Fed plan of further monetary tightening in the coming quarters.

Current Financial Health

Examining a company's balance sheet, also known as the statement of financial condition, and providing a snapshot of health, allows investors or other readers of financial statements to assess its present financial health (Early & McClure, Fundamental Analysis: The Balance Sheet, 2018). A company's balance sheet shows how much it owns in terms of assets and how much it owes in terms of liabilities (Early & McClure, Fundamental Analysis: The Balance Sheet, 2018). Additionally, the BS incorporates equity, also referred to as "net assets" or "shareholders equity," which is the difference between assets and liabilities. Additionally, investors utilize a variety of indicators, such as liquidity and solvency ratios, derived from quantitative information off the company's balance sheet, to establish and evaluate the present financial health of firms. Liquidity ratios measure the company's ability to pay short obligations, while solvency or long-term debt ratios measure a business's ability to meet long-term obligations (Early & McClure, Fundamental Analysis: The Balance Sheet, 2018).

Assessment of capitalization

Morgan Stanley has an overall increase in Assets, liabilities, and equities from 2020 to 2021. MS experienced an increase of 6.4% increase in total assets from fiscal year 2020 to 2021, Cash and cash equivalents increased 55.4% over the three years. Morgan Stanley's current ratio (CR) of 1.66, which measures liquidity, whether a company can have enough resources to meet its short-term obligations, was in line with the industry average and was

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

greater than 1.0, indicating it has more assets than liabilities. In addition, Morgan Stanley is outperforming the industry average and Goldman Sachs.

MS reported \$494 million of current liabilities in FY2021, an increase of approximately 2.5% from FY2020. The quick ratio (QR) of 0.59, which measures Morgan Stanley's ability to convert liquid assets to pay its current liabilities, illustrates that MS is able to meet its short-term obligations and more liquid than its competition. Over the last three years, Morgan Stanley's Current Ratio deteriorated from FY2019 to FY2020, but then improved from FY2020 to FY2021.

Considering solvency, Morgan Stanley is quite solvent; in other words, it has the ability to meet long-term liabilities. The long-term debt to equity (LTDE) ratio for Morgan Stanley at 2.2, which measures a company's financial leverage or how it is capitalized, indicates that Morgan Stanley is relying on long debt relative to shareholder's equity more than that of the industry and its competitor Goldman Sachs at 1.03 and 2.12 respectively. As such, Morgan Stanley poses a greater risk for investors, and it is at greater risk of bankruptcy. Similarly, Morgan Stanley's the debt to equity (DTE) of 2.85 indicates Morgan Stanley is financing its operations through debt and it is at a high risk of bankruptcy. However, Morgan Stanley has high profitability ratios which indicates that they will have the capability to pay off debts and funds to develop their enterprise.

Assessment of Growth

Morgan Stanley is planning to grow their business through acquisitions and have diversified their business, they currently own the following subsidiaries Morgan Stanley & Co. LLC ("MS&Co."), Morgan Stanley Smith Barney LLC ("MSSB"), Morgan Stanley Europe SE ("MSESE"), Morgan Stanley & Co. International plc ("MSIP"), Morgan Stanley Capital Services LLC ("MSCS"), Morgan Stanley Capital Group Inc. ("MSCG"), Morgan

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

Stanley MUFG Securities Co., Ltd. (“MSMS”), Morgan Stanley Bank, N.A. (“MSBNA”), Morgan Stanley Private Bank, National Association (“MSPBNA”), E*TRADE Bank (“ETB”), E*TRADE Savings Bank (“ETSB”) and E*TRADE Securities LLC. Morgan Stanley also has high Debt to Equity and Long term Debt to Equity Ratios at 2.85 and 2.2 respectively and adequate cash flows, as indicated in its evaluation of statement of cash flows. (NYSE: MS) Morgan Stanley's forecast annual earnings growth rate of 0.6% is not forecast to beat the US Capital Markets industry's average forecast earnings growth rate of 8.87%, and while it is not forecast to beat the US market's average forecast earnings growth rate of 18.28%.

Morgan Stanley's earnings in 2022 is \$13,109,000,000. On average, 6 Wall Street analysts forecast MS's earnings for 2022 to be \$11,485,567,994, with the lowest MS earnings forecast at \$10,163,611,737, and the highest MS earnings forecast at \$12,155,130,254. On average, 8 Wall Street analysts forecast MS's earnings for 2023 to be \$13,133,721,249, with the lowest MS earnings forecast at \$11,588,577,572, and the highest MS earnings forecast at \$14,077,975,717. In 2024, MS is forecast to generate \$14,404,172,716 in earnings, with the lowest earnings forecast at \$13,047,879,933 and the highest earnings forecast at \$15,502,941,552.

Morgan Stanley's forecast annual revenue growth rate of 1.4% is not forecast to beat the US Capital Markets industry's average forecast revenue growth rate of 4.7%, and while it is not forecast to beat the US market's average forecast revenue growth rate of 8.22%.

Assessment of Financial Value

As of September 2022, Morgan Stanley has a market cap of \$146.26 Billion. This makes Morgan Stanley the world's 65th most valuable company by market cap. The market capitalization, commonly called market cap, is the total market value of a publicly traded

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

company's outstanding shares and is commonly used to measure how much a company is worth. According to Morgan Stanley's latest financial reports and stock price the company's current price-to-earnings ratio (TTM) is 10.868. At the end of 2021 the company had a P/E ratio of 11.81, the company's current revenue (TTM) was \$53.81 B. In 2021 the company made a revenue of \$56.41 B an increase over the years 2020 revenue that were of \$45.26 B. The revenue is the total amount of income that a company generates by the sale of goods or services. Unlike with the earnings no expenses are subtracted, and the company's current earnings (TTM) were \$17.66 B. In 2021 the company made earnings of \$19.66 B an increase over its 2020 earnings that were of \$14.41 B.

Morgan Stanley's price to book (P/B) ratio of 1.47 implies that investors expect management to create more value from a given set of assets. Its price to sales of 2.63 which is lower than the industry average indicates that the stock price is undervalued, and people are less willing to purchase their stock. Additionally, Price to free cash flow is another way of determining if the value of a company's stock is accurate. A higher-than-average ratio may indicate that the company is overvalued, while a lower-than-average ratio indicates that the company is undervalued (Investopedia, n.d.). Here, MS's price to free cash flow is 8.55 which is lower than the industry average at 11.47 which indicates the stocks are undervalued. However, Morgan Stanley is growing and acquiring new businesses which is making them diversify. The company has a dividend yield and payout ratios at 3.46% and 54.46% respectively, which is much more than the industry average 2.08% and 13.81% respectively. After analyzing everything, MS is an attractive stock.

Key Success Factors and Risks

The unprecedented public health, economic, and societal impacts of the global COVID-19 (novel coronavirus) pandemic have intensified the forces that are creating challenges and accelerating disruption in the investment banking industry: falling equity prices, liquidity stress, evolving financial regulations, market democratization, pricing pressure, increased client sophistication, shifts to remote working arrangements, and rapid technology advances.

Against this tough backdrop, they anticipate that investment banking will transition from a full-scale service model to a bifurcation of two broker archetypes: “client capturers” that specialize in front-office functions and “flow players” that focus primarily on middle-office functions. These archetypes will likely operate within an interconnected, increasingly global—and, potentially, virtual—ecosystem that includes partners collaborations that provide various back-office functions.

On the other hand, Morgan Stanley has a 17.7% rise in share prices from 2021 January to 2022 October while Goldman Sachs shares grew by 14.4% and JP Morgan has negative returns of -17.6% for the period. Even so, Morgan Stanley must consider the critical success and risks factors that will influence its ability to remain profitability and successful.

Financial and Strategic Priorities

Client service. Client service is a massive priority for Morgan Stanley, they combine the vast resources of a global financial services Firm with individualized services for a hands-on, tailored approach. Whether it's planning for a client's future, architecting their retirement savings drawdown strategy, investing with impact for positive change, or legacy planning, they can do more for the investors. The Financial Advisors have also earned some of the industry's top awards, year after year. About 97% of clients say they are satisfied with the

firm, and 98% are satisfied with how their Morgan Stanley Financial Advisor handles questions and requests. Additionally, nine in 10 Morgan Stanley clients surveyed say they felt prepared financially for the COVID-19 crisis. They believe in service quality to market their services and also believe in word of mouth and recommendations.

Mergers and Acquisitions. On the wealth and asset management front, which represents a burgeoning revenue stream, Morgan Stanley has signaled its commitment with the acquisitions of E*TRADE and Eaton Vance. E*TRADE, acquired in 2020, is an expansion in the brokerage market where it has traditionally focused on institutional clients. E Trade not only brings cross-selling opportunities, but also a pool of low-cost client deposits to lend and invest. On the asset management side, the acquisition of Eaton Vance provides a boost to its AUMs allowing it to achieve greater scale and product offering expansion.

Its people. Employees are the most important asset for the company. With offices in 41 countries, they have approximately 75 thousand employees across the globe as of December 31, 2021, whom they depend upon to build value for their clients and shareholders. To facilitate talent attraction and retention, they strive to make Morgan Stanley a diverse and inclusive workplace, with a strong culture and opportunities for the employees to grow and develop in their career and be supported by competitive compensation, benefits, and health and wellness programs.

Success Factors and Risks

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

Today, Morgan Stanley's current stock price at \$78.93 represents a 19.59 percent decrease from a high of \$98.16 at the close of fiscal year 2021 (NYSE, 2022). Although this decrease in stock price is in-line with the S&P 500, DOW, and NASDAQ performance trends, Morgan Stanley must continue to find innovative ways to remain competitive in a highly competitive industry and market (NYSE, 2022). To remain successful in the investment banking industry, the company's key success factors include obtaining more clients with high net worth, mergers and acquisitions, and investment. However, the success of MS is not limited to the above; in addition, MS must balance and manage risks that have the potential to negatively impact the operations of its clients and stakeholders.

Key Non – Financial Success factors

Innovation and differentiation. A company's ability to innovate and differentiate its product portfolio is imperative to meet the changing needs and preferences of consumers and its customers. From low latency and algorithmic trading, complex risk calculations and big data analytics to digital and end-user solutions, sophisticated cyber defense, and large-scale, global infrastructure management, they maximize their ~\$4 billion in investment in technology and innovation to provide clients and business teams with a competitive edge, drive efficiencies, and deliver stable, resilient operations 24/7. The company recognized the importance of how leveraging R&D help companies, in any industry, refine and diversify its product portfolio to meet consumer trends and needs through innovation and differentiation.

Morgan Stanley's technology drives success, helping preserve the leading position in electronic equities trading. And they continue to invest in innovative solutions to digitize sales & trading, uncover cross-asset synergies, and harness big data analytics to deliver unique market insights to clients. They have dedicated Centers of Excellence that drive the adoption of advanced technologies such as artificial intelligence, data and public cloud;

together with their Innovation Office, Innovation Lab and modern developer environment, they cultivate experimentation and accelerate the deployment of new technologies.

In the current market, it is important to keep up with the technological changes and keep investing in research and development. Morgan Stanley should keep investing in innovating their technological background as FinTech is taking over the world and people are leaning towards solutions they can have on their computers rather than visiting a facility. However, MS's growth-oriented decisions have some accounting and financial implications. One implication is the effect of accounting for research and development expenditures, results in a company recognizing lower net income and profitability in the short-term. According to generally accepted accounting principles (GAAP), all research and development expenditures must be charged to expense as incurred. Thus, the company must recognize more expenses in the current fiscal year, reducing net income (revenues minus expenses equals net income) and overall profits.

Nonetheless, the trade-off for management's growth-focused strategy is decreased profitability in the short-term, but increased growth in the long-term. Under current accounting rules, MS top executives must decide whether growth fueled by uncertain R&D investments, which depress current earnings and hence stock price, is more important than short-term profitability.

Partnership. Every summer, Morgan Stanley's technologists meet with cutting-edge firms and industry leaders in Silicon Valley to explore emerging trends and new products. The CTO Innovation Summit, an exclusive event, helps new firms grow and keeps Morgan Stanley Technology at the forefront of a fast-changing industry.

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

Since the inception of the Summit 17 years ago, Morgan Stanley has met with more than 800 startups, many of which have become part of the firm's tech ecosystem, no small feat given that Summit presentations usually mark the first in-depth interaction between the firm's tech leaders and early-stage companies. Later this year Morgan Stanley will host another marquee technology event exclusively focused on fintech providers.

Fintech. When making crucial business decisions, businesses must take into account the constantly evolving nature of technology. Companies must find a way to use technology to their advantage if they want to stay competitive in their market and sector. Morgan Stanley and Microsoft have announced a cloud partnership deal centered around development and digital transformation. The partnership is described as a "natural extension" The two firms call the deal a "unique collaboration to unlock the opportunities that Microsoft's cloud provides". They say it can enable Morgan Stanley to accelerate the modernization of its IT environment. As part of the deal, Morgan Stanley will develop and co-design new application infrastructure with Microsoft. This includes common data models, cross-cloud connectors, workflows, and APIs. Microsoft is to be slotted into the US bank's existing multi-cloud strategy, with workloads transitioned onto its Azure platform. The companies' engineers will also collaborate on requirements and capabilities to drive "client- and business-centric innovation in financial services". Rob Rooney, head of technology, operations, and firm resilience at Morgan Stanley, says the partnership is a "natural extension". He adds that his firm has a longstanding engineering relationship and strong collaborative bond with Microsoft. "As they co-develop to shape the future of the cloud, Morgan Stanley will share its deep domain knowledge and engineering expertise to address the complexities of a global regulated financial industry." Beyond the cloud, the two firms are also collaborating on changes to the workplace and developer experience. Teams at both will jointly work on the adoption of Microsoft GitHub, which Microsoft says will enable an integrated development

environment and DevOps toolchain. “As one of the most highly regulated industries in the world, financial services organizations’ journey to the cloud is extremely complex and nuanced,” says Scott Guthrie, Microsoft’s executive vice president for cloud and AI. “Bringing together Morgan Stanley’s financial services engineering expertise with Microsoft’s cloud and industry-specific experience, their partnership will empower innovation for the industry.”

Fintech is continuously evolving however the guidelines do not change very often. Morgan Stanley is also trying to evolve with the evolving technology and partnering with the best in the industry. As a fintech, it can be difficult to navigate your dynamic tax, audit, and compliance environment while prioritizing growth. From inception to exit, fintech need a reliable professional services firm to provide the necessary services and expertise to guide them every step of the way. Morgan Stanley is an already established company with good knowledge in taxation and rules which will help them overcome such obstacles.

Key Internal Risks

Along with utilizing crucial success criteria, MS must also reduce or prevent certain risks. There are a number of internal risks that might have an impact on the financial success of MS and other businesses. However, the ability of the company to foresee benefits from productivity initiatives or global operating strategy, its capacity to find, hire, or retain key employees or a highly skilled and diverse workforce, and its capacity to minimize disruptions to its distribution networks are key risks that PEP must mitigate in order to ensure its success and the future of the company.

Model Risk. Model risk refers to the potential for adverse consequences from decisions based on incorrect or misused model outputs. Model risk can lead to financial loss, poor

business and strategic decision making or damage to their reputation. The risk inherent in a model is a function of the materiality, complexity and uncertainty around inputs and assumptions. Model risk is generated from the use of models impacting financial statements, regulatory filings, capital adequacy assessments and the formulation of strategy. Sound model risk management is an integral part of their Risk Management Framework. The Model Risk Management Department (“MRM”) is a distinct department in Risk Management responsible for the oversight of model risk. The MRM establishes a model risk tolerance in line with their risk appetite. The tolerance is based on an assessment of the materiality of the risk of financial loss or reputational damage due to errors in design, implementation and/or inappropriate use of models. The tolerance is monitored through model specific and aggregate business-level assessments, which are based upon qualitative and quantitative factors.

Legal and compliance risk. Legal and compliance risk includes the risk of legal or regulatory sanctions, material financial loss, including fines, penalties, judgments, damages and/or settlements, limitations on a business, or loss to reputation that they may suffer as a result of failure to comply with laws, regulations, rules, related self-regulatory organization standards and codes of conduct applicable to the business activities. This risk also includes contractual and commercial risk, such as the risk that a counterparty’s performance obligations will be unenforceable. It also includes compliance with AML, terrorist financing, and anti-corruption rules and regulations. They are generally subject to extensive regulation in the different jurisdictions in which they conduct their business. They have established procedures based on legal and regulatory requirements on a worldwide basis that are designed to facilitate compliance with applicable statutory and regulatory requirements and to require that their policies relating to business conduct, ethics and practices are followed globally. In addition, Morgan Stanley has established procedures to mitigate the risk that a

counterparty's performance obligations will be unenforceable, including consideration of counterparty legal authority and capacity, adequacy of legal documentation, the permissibility of a transaction under applicable law and whether applicable bankruptcy or insolvency laws limit or alter contractual remedies. The heightened legal and regulatory focus on the financial services and banking industries globally presents a continuing business challenge for them.

Recruitment and retention of key employees or highly skilled workforce. Another risk that Morgan Stanley must look into is recruitment and employee retention. To mitigate this risk, MS is making considerable investments in its people. They have a good Employee Benefit plan in place in which they provide attractive pension plans, 401(k) plans, Non-U.S. Defined Contribution Pension Plans etc. In addition, after Covid 19, people are more inclined towards having remote or hybrid work and Morgan Stanley understands and is presenting its employees with such options. In addition, the employees have access to financial advice from the best in business. At Morgan Stanley, according to them, their employees are their strongest asset, and they recognize their value. The employees have access to a wide-ranging mentorships and management support with the firm—and continued career development programs and networks to nurture one's career: Tuition and licensing reimbursement, plus discounts on graduate-school test prep (GREs, GMATs, LSATs, etc.), Online courses from industry leaders and access to the Harvard Business Review, 10,000+ LinkedIn Learning educational videos on business and career-related topics and Employee networking groups that promote diversity and career development. They also provide Student loan refinancing for the employee, their family, and friends. 4 weeks of paid leave to care for a seriously ill family member Generous paid parental leave.

Morgan Stanley Financial Projections and Analysis

Morgan Stanley (NYSE: MS) reported net revenues of \$13.0 billion for the third quarter ended September 30, 2022, compared with \$14.8 billion a year ago. Net income applicable to Morgan Stanley was \$2.6 billion, or \$1.47 per diluted share, compared with net income of \$3.7 billion, or \$1.98 per diluted share, for the same period a year ago. A major reason for this performance is the rise in inflation which is making people fearful of investing. Although the interest income has increased by 160% from the third quarter of 2021 to 2022 third quarter, the revenues have decreased by 17% and the net revenues has decreased by 12% and the net income applicable to Morgan Stanley has decreased by 29%. However, it has increased by 5% from the second quarter of 2022. The Company's stated net revenues of \$13.0 billion showed how resilient its business model was in the face of a tumultuous market. The company produced an ROTCE of 14.6%, or 15.2% if integration-related costs are not taken into account. Year-to-date, the Firm's expense efficiency ratio was 72%, or 71% if integration-related costs were not considered. Common Equity Tier 1 Standardized was 14.8%. Institutional Securities' net sales of \$5.8 billion are driven by Fixed Income's good performance and Equity's solid results, with Investment Banking's activity remaining constrained due to the macroeconomic environment's uncertainty.

Pre-tax margin for wealth management was 26.9%, or 28.4% if integration-related costs were excluded. 5,7 As interest rates rise, results show increasing net interest income. The company's net new asset growth of \$65 billion brought the year's overall net new asset growth to \$260 billion. In a difficult market environment, Investment Management generated net revenues of \$1.2 billion on AUM of \$1.3 trillion. Institutional Securities reported net revenues for the current quarter of \$5.8 billion compared with \$7.5 billion a year ago. Pre-tax income was \$1.6 billion compared with \$3.0 billion a year ago. Investment Banking revenues down 55% from a year ago, advisory revenues decreased from a year ago driven by lower

levels of completed M&A transactions. Revenues from equities underwriting sharply fell from a year ago, indicating the sharp reduction in global equity volumes. The macroeconomic environment contributed to lesser issuances, which resulted in a decline in fixed income underwriting revenues from a year earlier. Net revenues of investment banking for equity are down 14% from a year ago. The downturn in equities markets and lower client activity compared to the high levels in the prior year quarter were the main causes of the decrease in equity net revenues across businesses from a year ago. Net income for Fixed Income increased by 33% over a year earlier. The growth in Fixed Income net revenues from a year ago is due to macro product strength, strong customer engagement, and market volatility. The main reason that compensation expenses fell from a year earlier was fewer revenues.

Wealth Management's net revenues were \$6.1 billion as opposed to \$5.9 billion in the prior year. Pre-tax income increased from \$1.5 billion to \$1.6 billion from one year prior. ⁸ In the most recent quarter, pre-tax margin was 26.9%, or 28.4% if integration-related expenses were not taken into account. Net revenues for wealth management rose by 3% from a year ago. Asset management revenues fell by 7% as a result of lower asset levels brought on by market declines, largely offsetting the declines with positive fee-based flows. Excluding the effect of mark-to-market losses on assets connected to certain employee deferred compensation schemes, transactional revenues¹³ fell by 18%. Lower client activity combined with market uncertainty was the primary cause of the decline. Due to rising interest rates, net interest revenue climbed 49% from the previous year. The impact of increasing manpower was mitigated by reduced compensable revenues and a drop due to some deferred compensation plans connected to investment performance, which resulted in a rather stable level of compensation expense. • Compared to a year earlier, non-compensation expenses grew, mostly due to technological investments as well as greater marketing and business development costs. Net sales for Investment Management were \$1.2 billion as opposed to

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

\$1.5 billion in the prior year. Pre-tax income dropped from \$370 million to \$116 million from the previous year. Net revenues from investment management is 20% lower than it was a year ago, as a result of falling asset levels brought on by the collapse of the equities markets, asset management and related fees have reduced from a year earlier. Performance-based income and other revenues fell from a year ago, mainly because accumulated carried interest in some of our private funds was reversed.

As part of its share repurchase program, the company bought back \$2.6 billion worth of its outstanding ordinary shares during the quarter. • The common stockholders whose records are current as of October 31, 2022, will receive a quarterly dividend of \$0.775 per share, payable on November 15, 2022. • On October 1, 2022, the enhanced standardized approach CET1 requirement went into effect, and the Standardized Common Equity Tier 1 capital ratio was 150 basis points higher at 14.8%. • The realization of certain tax benefits was the main factor in the effective tax rate for the quarter falling from the prior year quarter to 21.4%.

Morgan Stanley annual revenue for 2021 was \$59.755B, a 22.56% increase from 2020. Morgan Stanley revenue for the twelve months ending September 30, 2022 was \$55.443B, a 5.75% decline year-over-year. The net income for the twelve months ending September 30, 2022 was \$12.019B, a 15.6% decline year-over-year and annual net income for 2021 was \$14.566B, a 38.72% increase from 2020.

Projections

In 2021, net revenues were \$59,755 million however, from in 2022, the market faced a major downturn due to rising oil prices, which resulted in inflation and decline in revenues. 2022 showed decline in net revenues and as of 30 sept 2022, net revenues declined by 5.75% which was taken into account while estimating the rate for 2022 net revenues. According to

Finance analysts mentioned in **Appendix** MS's average future revenue growth rate will be 5.1% for the next 3 years. Therefore, the revenue for Year +1, Year +2 and Year +3 will be anticipated to be \$56,319.09, \$59,191.36, and \$62,210.12 respectively.

Similarly, according to MS's Annual report, the provision for credit losses on loans and lending commitments were flat, primarily as a result of portfolio growth, offset by the impact of changes in loan quality mix. The base scenario used in our ACL models as of December 31, 2021, was generated using a combination of industry consensus economic forecasts, forward rates, and internally developed and validated models, and assumes continued growth over the forecast period. Given the nature of our lending portfolio, the most sensitive model input is U.S. gross domestic product. Assuming the GDP has declined in 2022, the provision for credit losses was taken to be \$3.77 Million. On the other hand, Federal Bank is taking corrective action to take the GDP to a better state and hence for year +2 and Year +2, the provision for credit losses were \$3.96 Million and \$4.16 Million. Non-interest expenses of \$18,051 million in 2021 increased 23% compared with the prior year, as a result of both higher Compensation and benefits and non-compensation expenses. Compensation and benefits expenses increased, primarily due to an increase in the formulaic payout to Wealth Management representatives driven by higher compensable revenues and incremental compensation as a result of the E*TRADE acquisition, partially offset by lower expenses related to certain deferred compensation plans linked to investment performance. Non-compensation expenses increased, primarily due to incremental expenses as a result of the E*TRADE acquisition. Although the Total Non-interest expenses increased dramatically in 2021, there were no significant changes in 2022 and that is why the Total non-interest expenses for 2022 were estimated to be \$37,778.23 Million however, the company is planning to expand and have a higher non-interest expense from 2023 therefore, the same is \$39,704.92 Million and \$41,729.87 Million in Year +2 and Year +3.

Based on the year +1, year +2, year +3 revenue, provision for credit losses, total non-interest expenses, the net income is estimated to be \$14,250.60 Million, \$14,977.38 Million and \$15,741.23 Million for year +1, year +2, year +3 respectively. And Morgan Stanley will achieve a steady gross profit margin of 5.1%.

Projection: Best-case and Worst-case scenarios

Best Case projection. On March 1, 2021, the Firm completed the acquisition of 100% of Eaton Vance Corp. (“Eaton Vance”) in a stock and cash transaction, which increased the scale and breadth of the Investment Management business segment. Total consideration for the transaction was approximately \$8.7 billion, which consists of the \$5.3 billion fair value of 69 million common shares issued from Common stock held in treasury and cash of approximately \$3.4 billion. Upon acquisition, the assets, and liabilities of Eaton Vance were adjusted to their respective fair values as of the closing date of the transaction, including the identifiable intangible assets acquired. In addition, the excess of the purchase price over the fair value of the net assets acquired has been recorded as goodwill. The fair value estimates used in valuing certain acquired assets and liabilities are based, in part, on inputs that are unobservable. For intangible assets, these include, but are not limited to, forecasted future cash flows, revenue growth rates, attrition rates and discount rates.

On October 2, 2020, the Firm completed the acquisition of 100% of E*TRADE Financial Corporation (“E*TRADE”) in breadth of the Wealth Management business segment. Total consideration for the transaction was approximately \$11.9 billion, which principally consists of the \$11 billion fair value of 233 million common shares issued from Common stock held in treasury, at an exchange ratio of 1.0432 per E*TRADE common share. In addition, the Firm issued Series M and Series N preferred shares with a fair value of approximately \$0.7 billion in exchange for E*TRADE’s existing preferred stock. Upon

acquisition, the assets and liabilities of E*TRADE were adjusted to their respective fair values as of the closing date of the transaction, including the identifiable intangible assets acquired. In addition, the excess of the purchase price over the fair value of the net assets acquired has been recorded as goodwill. The fair value estimates used in valuing certain acquired assets and liabilities are based, in part, on inputs that are unobservable. For intangible assets, these include, but are not limited to, forecasted future cash flows, revenue growth rates, customer attrition rates and discount rates.

Due to both these acquisitions, the company's net revenues may show a positive turn in the future and may do well in this time of inflation and bull market. The best-case scenario is given in Appendix 6 and we can see that

Worst case: The integrations of E*TRADE and Eaton Vance involve a number of risks, including failure to realize anticipated cost savings and difficulty integrating the businesses. It is possible that the remaining integration processes could also result in unanticipated disruptions of ongoing businesses, the loss of key employees, the loss of clients, or overall integrations that take longer than originally anticipated. In the case of joint ventures, partnerships and minority stakes, we are subject to additional risks and uncertainties because we may be dependent upon, and subject to liability, losses or reputational damage relating to systems, controls and personnel that are not under our control. In addition, conflicts or disagreements between us and any of our joint venture partners or partners may negatively impact the benefits to be achieved by the relevant joint venture or partnership, respectively. There is no assurance that any of our acquisitions, divestitures or investments will be successfully integrated or disaggregated or yield all of the positive benefits and synergies anticipated. If we are not able to integrate or disaggregate successfully our past and future acquisitions or dispositions, there is a risk that our results of operations, financial condition and cash flows may be materially and adversely affected.

Business Opportunities

Morgan Stanley is a traditional banking company and has analysts that are bringing the best investments in the market however, according to my research, one attribute that they can concentrate on is diversifying the investments. Before investing in these types of investments some things need to be kept in mind. Profitability of the investment, risk analysis and capital growth. The reason for recommending this investment is that a company should diversify its business to mitigate the risks of market fluctuations. In the 2008 financial crisis, Morgan Stanley suffered a loss of \$2.3 billion. If there were institutions which would have diversified their investment, they could have used them to recover rather than depending on external Banks. One such investment is a startup known as **Manifest**. It is a company which is providing a easy way to consolidate retirement accounts. They are digitizing retirement transfers and in addition provide demo to help the elderly with transferring their retirement funds from one bank to another.

Investment Features

The potential investment will require budgeting, analysis resources to evaluate the potential start-up to invest in and a start-up may not be profitable in the first of second year but might become a big company with the help of Morgan Stanley. Spending priorities will depend on the valuations of the company or Start-up to be acquired, their short-term goal will be to understand the growth opportunities of the acquisition and long-term goals will be how to make the company more profitable and make it reach out to a bigger client. For Manifest, the investment will require the right valuation, how many people will retire in the coming years and if they will appreciate the one click retirement money transfers and monetization.

Cost and Benefits

The cost to Morgan Stanley will be a low amount as of now as the startup is still developing, however, if this idea is made famous and looks useful, people will value the company at a higher price even before Morgan Stanley has the time to do it. Morgan Stanley's cost will be the cost of research, valuation, potential of the target startup, cost of employees to maintain said startup and the cost of acquisition of the startup, Additionally, if an analysis is done well, which Morgan Stanley is already good at, the profits and incomes will outweigh the costs in the future.

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UNITED STATES SECURITIES AND EXCHANGE COMMISSION Washington, D.C.
20549 FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES
EXCHANGE ACT OF 1934

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

For the year ended December 31, 2021 Commission File Number 1-11758 – MORGAN STANLEY

Investment Opportunity

<https://www.usemanifest.com/>

Appendix

Appendix A

Selected Tables

Table A:

Income Statement Information

<i>\$ in millions</i>	2021	2020	2019	% Change	
				2021	2020
Revenues					
Advisory	\$ 3,487	\$ 2,008	\$ 2,116	74 %	(5) %
Equity	4,437	3,092	1,708	43 %	81 %
Fixed income	2,348	2,104	1,910	12 %	10 %
Total Underwriting	6,785	5,196	3,618	31 %	44 %
Total Investment banking	10,272	7,204	5,734	43 %	26 %
Equity ¹	11,435	9,921	8,133	15 %	22 %
Fixed income ¹	7,516	8,847	5,985	(15) %	48 %
Other ¹	610	504	644	21 %	(22) %
Net revenues¹	29,833	26,476	20,496	13 %	29 %
Provision for credit losses¹	(7)	731	151	(101) %	N/M
Compensation and benefits	9,165	8,342	7,433	10 %	12 %
Non-compensation expenses ¹	8,861	8,252	7,422	7 %	11 %
Total non-interest expenses¹	18,026	16,594	14,855	9 %	12 %
Income before provision for income taxes	11,814	9,151	5,490	29 %	67 %
Provision for income taxes	2,746	2,040	769	35 %	165 %
Net income	9,068	7,111	4,721	28 %	51 %
Net income applicable to noncontrolling interests	111	99	122	12 %	(19) %
Net income applicable to Morgan Stanley	\$ 8,957	\$ 7,012	\$ 4,599	28 %	52 %

1. Certain prior period amounts have been reclassified to conform to the current presentation. See "Business Segments" herein and Note 1 to the financial statements for additional information.

Table B: Investment Banking

Investment Banking Volumes

<i>\$ in billions</i>	2021	2020	2019
Completed mergers and acquisitions ¹	\$ 1,090	\$ 887	\$ 826
Equity and equity-related offerings ^{2, 3}	117	100	61
Fixed income offerings ^{2, 4}	365	377	287

Table C: Wealth Management

Income Statement Information

<i>\$ in millions</i>	2021	2020	2019	% Change	
				2021	2020
Revenues					
Asset management	\$13,966	\$10,955	\$10,199	27 %	7 %
Transactional ¹	4,259	3,694	2,969	15 %	24 %
Net interest	5,393	4,022	4,222	34 %	(5)%
Other ^{1,2}	625	415	356	51 %	17 %
Net revenues²	24,243	19,086	17,746	27 %	8 %
Provision for credit losses²	11	30	10	(63)%	200 %
Compensation and benefits	13,090	10,970	9,774	19 %	12 %
Non-compensation expenses ²	4,961	3,699	3,130	34 %	18 %
Total non-interest expenses²	18,051	14,669	12,904	23 %	14 %
Income before provision for income taxes	6,181	4,387	4,832	41 %	(9)%
Provision for income taxes	1,447	1,026	1,104	41 %	(7)%
Net income applicable to Morgan Stanley	\$ 4,734	\$ 3,361	\$ 3,728	41 %	(10)%

1. Transactional includes Investment banking, Trading, and Commissions and fees revenues. Other includes Investments and Other revenues.

2. Certain prior period amounts have been reclassified to conform to the current presentation. See "Business Segments" herein and Note 1 to the financial statements for additional information.

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

Table E: Investment Management

Income Statement Information

\$ in millions	2021	2020	2019	% Change	
				2021	2020
Revenues					
Asset management and related fees	\$ 5,576	\$ 3,013	\$ 2,629	85 %	15 %
Performance-based income and other ¹	644	721	1,134	(11)%	(36)%
Net revenues	6,220	3,734	3,763	67 %	(1)%
Compensation and benefits	2,373	1,542	1,630	54 %	(5)%
Non-compensation expenses	2,169	1,322	1,148	64 %	15 %
Total non-interest expenses	4,542	2,864	2,778	59 %	3 %
Income from continuing operations before income taxes	1,678	870	985	93 %	(12)%
Provision for income taxes	356	171	193	108 %	(11)%
Net income	1,322	699	792	89 %	(12)%
Net income applicable to noncontrolling interests	(25)	84	73	(130)%	15 %
Net income applicable to Morgan Stanley	\$ 1,347	\$ 615	\$ 719	119 %	(14)%

1. Includes Investments, Trading, Commissions and fees, Net interest and Other revenues.

Appendix B: Current Market conditions

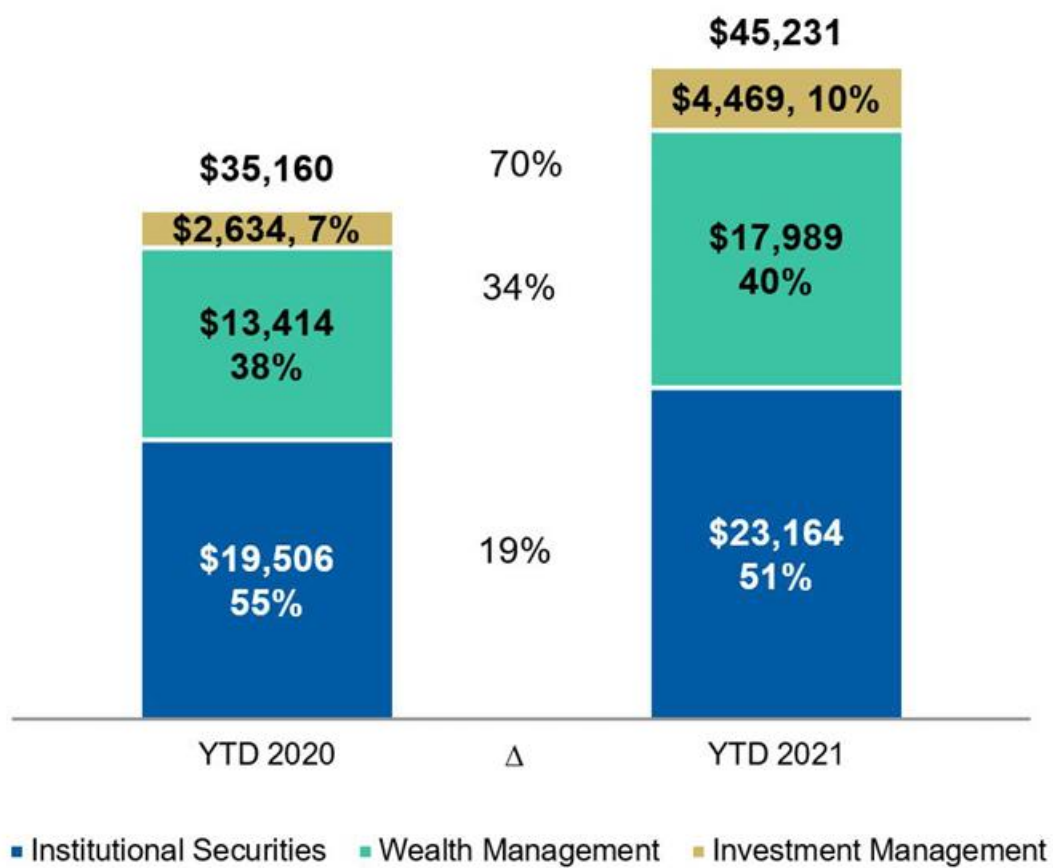
Financial Summary^{2,3}

Firm (\$ millions, except per share data)	1Q 2022	1Q 2021
Net revenues	\$14,801	\$15,719
Provision for credit losses	\$57	\$(98)
Compensation expense	\$6,274	\$6,798
Non-compensation expenses	\$3,882	\$3,675
Pre-tax income ¹⁰	\$4,588	\$5,344
Net income app. to MS	\$3,666	\$4,120
Expense efficiency ratio ⁷	69%	67%
Earnings per diluted share	\$2.02	\$2.19
Book value per share	\$54.18	\$52.71
Tangible book value per share	\$39.91	\$38.97
Return on equity	14.7%	16.9%
Return on tangible equity ⁵	19.8%	21.1%

Highlights

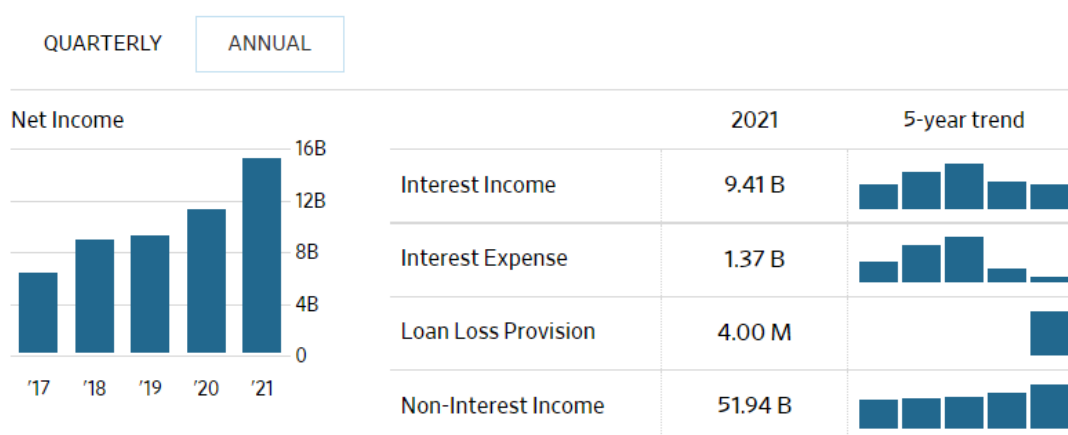
- The Firm delivered its second highest quarterly net revenues⁴ of \$14.8 billion on continued strong performance and contributions across our businesses.
- The Firm delivered ROTCE of 19.8%^{5,6} in a volatile and uncertain market environment.
- The Firm maintained expense discipline and delivered an efficiency ratio of 69%^{6,7} while continuing to invest in our businesses.
- Common Equity Tier 1 capital standardized ratio was 14.5%.

MS earnings release



Appendix C: Selected Graphs

Income Statement Morgan Stanley →



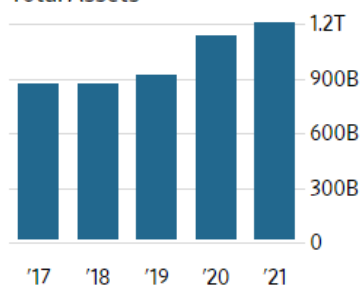
MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

Balance Sheet Morgan Stanley →

QUARTERLY

ANNUAL

Total Assets



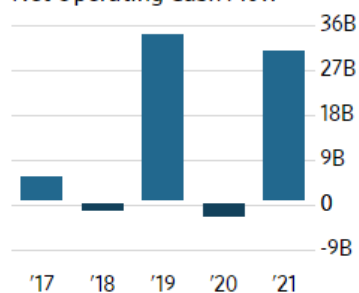
	2021	5-year trend
Investments	861.69 B	
Net Loans	174.30 B	
Total Deposits	347.57 B	
Tier 1 Capital	83.35 B	-
Book Value Per Share	55.12	-

Cash Flow Morgan Stanley →

QUARTERLY

ANNUAL

Net Operating Cash Flow



	2021	5-year trend
Net Financing Cash Flow	+57.72 B	
Free Cash Flow	+27.51 B	
Cash Flow Per Share	-	-
Free Cash Flow Per Share	-	-

Appendix D: Consolidated Income Statement

Consolidated Income Statement

Morgan Stanley

in millions, except per share data

	2021	2020	2019
Revenues			
Investment banking	\$ 10,994	\$ 7,674	\$ 6,163
Trading	12,810	13,983	11,274
Investments	1,376	986	1,540
Commissions and fees	5,521	4,851	3,919
Asset management	19,967	14,272	13,083
Other	1,042	678	865
Total non-interest revenues	51,710	42,444	36,844
Interest income	9,411	10,162	17,098
Interest expense	1,366	3,849	12,404
Net interest	8,045	6,313	4,694
Net revenues	59,755	48,757	41,538
Provision for credit losses	4	761	161
Non-interest expenses			
Compensation and benefits	24,628	20,854	18,837
Brokerage, clearing and exchange fees	3,341	2,929	2,493
Information processing and communications	3,119	2,465	2,194
Professional services	2,933	2,205	2,137
Occupancy and equipment	1,725	1,559	1,428
Marketing and business development	643	434	660
Other	3,694	3,132	2,327
Total non-interest expenses	40,083	33,578	30,076
Income before provision for income taxes	19,668	14,418	11,301
Provision for income taxes	4,548	3,239	2,064
Net income	\$ 15,120	\$ 11,179	\$ 9,237
Net income applicable to noncontrolling interests	86	183	195
Net income applicable to Morgan Stanley	\$ 15,034	\$ 10,996	\$ 9,042
Preferred stock dividends	468	496	530
Earnings applicable to Morgan Stanley common shareholders	\$ 14,566	\$ 10,500	\$ 8,512
Earnings per common share			
Basic	\$ 8.16	\$ 6.55	\$ 5.26
Diluted	8.03	6.46	5.19
Average common shares outstanding			
Basic	1,785	1,603	1,617
Diluted	1,814	1,624	1,640

Appendix E: Consolidated Balance Sheet

Consolidated Balance Sheet

Morgan Stanley

	At December 31, 2021	At December 31, 2020
<i>\$ in millions, except share data</i>		
Assets		
Cash and cash equivalents	\$ 127,725	\$ 105,654
Trading assets at fair value (\$104,186 and \$132,578 were pledged to various parties)	294,869	312,738
Investment securities (includes \$102,830 and \$110,383 at fair value)	182,998	182,154
Securities purchased under agreements to resell (includes \$7 and \$15 at fair value)	119,999	116,234
Securities borrowed	129,713	112,391
Customer and other receivables	96,018	97,737
Loans:		
Held for investment (net of allowance for credit losses of \$654 and \$835)	174,302	137,784
Held for sale	13,832	12,813
Goodwill	16,833	11,635
Intangible assets (net of accumulated amortization of \$3,819 and \$3,265)	8,360	4,980
Other assets	23,491	21,742
Total assets	\$ 1,188,140	\$ 1,115,862
Liabilities		
Deposits (includes \$1,940 and \$3,521 at fair value)	\$ 347,574	\$ 310,782
Trading liabilities at fair value	158,328	157,631
Securities sold under agreements to repurchase (includes \$791 and \$1,115 at fair value)	62,188	50,587
Securities loaned	12,299	7,731
Other secured financings (includes \$5,133 and \$11,701 at fair value)	10,041	15,863
Customer and other payables	228,685	227,437
Other liabilities and accrued expenses	29,300	25,603
Borrowings (includes \$76,340 and \$73,701 at fair value)	233,127	217,079
Total liabilities	1,081,542	1,012,713
Commitments and contingent liabilities (see Note 15)		
Equity		
Morgan Stanley shareholders' equity:		
Preferred stock	7,750	9,250
Common stock, \$0.01 par value:		
Shares authorized: 3,500,000,000; Shares issued: 2,038,893,979; Shares outstanding: 1,772,226,530 and 1,809,624,144	20	20
Additional paid-in capital	28,841	25,546
Retained earnings	89,432	78,694
Employee stock trusts	3,955	3,043
Accumulated other comprehensive income (loss)	(3,102)	(1,962)
Common stock held in treasury at cost, \$0.01 par value (266,667,449 and 229,269,835 shares)	(17,500)	(9,767)
Common stock issued to employee stock trusts	(3,955)	(3,043)
Total Morgan Stanley shareholders' equity	105,441	101,781
Noncontrolling interests	1,157	1,368
Total equity	106,598	103,149
Total liabilities and equity	\$ 1,188,140	\$ 1,115,862

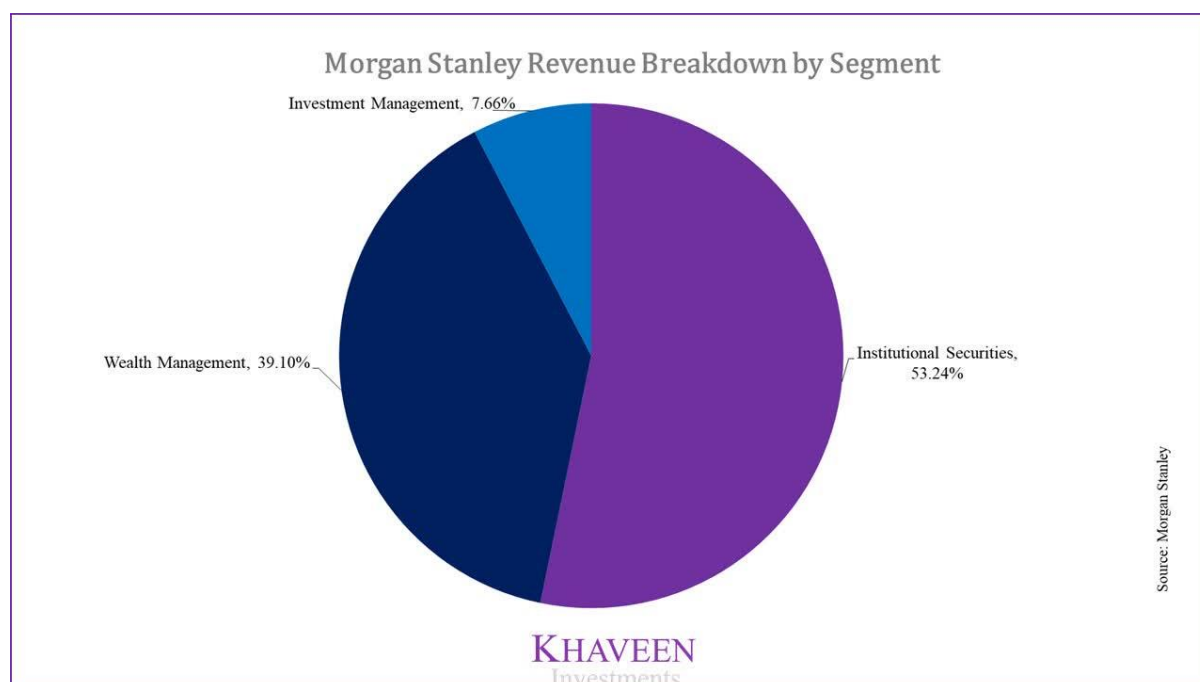
Appendix F: Consolidated Cash Flow Statement

Consolidated Cash Flow Statement

Morgan Stanley

<i>\$ in millions</i>	2021	2020	2019
Cash flows from operating activities			
Net income	\$ 15,120	\$ 11,179	\$ 9,237
Adjustments to reconcile net income to net cash provided by (used for) operating activities:			
Deferred income taxes	4	(250)	165
Stock-based compensation expense	2,085	1,312	1,153
Depreciation and amortization	4,216	3,769	2,643
Provision for credit losses	4	761	161
Other operating adjustments	(147)	274	(195)
Changes in assets and liabilities:			
Trading assets, net of Trading liabilities	9,075	15,551	(13,667)
Securities borrowed	(17,322)	(5,076)	9,764
Securities loaned	4,568	(1,541)	(3,402)
Customer and other receivables and other assets	774	(29,774)	233
Customer and other payables and other liabilities	7,758	10,187	19,942
Securities purchased under agreements to resell	(3,765)	(28,010)	10,298
Securities sold under agreements to repurchase	11,601	(3,613)	4,441
Net cash provided by (used for) operating activities	33,971	(25,231)	40,773
Cash flows from investing activities			
Proceeds from (payments for):			
Other assets—Premises, equipment and software, net	(2,308)	(1,444)	(1,826)
Changes in loans, net	(36,106)	(17,949)	(17,359)
Investment securities:			
Purchases	(69,571)	(59,777)	(42,586)
Proceeds from sales	20,652	13,750	17,151
Proceeds from paydowns and maturities	40,916	24,517	12,012
Cash paid as part of the Eaton Vance acquisition, net of cash acquired	(2,648)	—	—
Cash acquired as part of the E*TRADE acquisition	—	3,807	—
Other investing activities	(832)	(802)	(953)
Net cash provided by (used for) investing activities	(49,897)	(37,898)	(33,561)
Cash flows from financing activities			
Net proceeds from (payments for):			
Other secured financings	(625)	2,794	3,695
Deposits	36,897	75,417	2,513
Issuance of preferred stock, net of issuance costs	1,275	—	497
Proceeds from issuance of Borrowings	90,273	60,726	30,605
Payments for:			
Borrowings	(70,124)	(50,484)	(40,548)
Repurchases of common stock and employee tax withholdings	(12,075)	(1,890)	(5,954)
Cash dividends	(4,171)	(2,739)	(2,627)
Other financing activities	97	(40)	(147)
Net cash provided by (used for) financing activities	41,547	83,784	(11,966)
Effect of exchange rate changes on cash and cash equivalents	(3,550)	2,828	(271)
Net increase (decrease) in cash and cash equivalents	22,071	23,483	(5,025)
Cash and cash equivalents, at beginning of period	105,654	82,171	87,196
Cash and cash equivalents, at end of period	\$ 127,725	\$ 105,654	\$ 82,171
Supplemental Disclosure of Cash Flow Information			
Cash payments for:			
Interest	\$ 1,303	\$ 4,120	\$ 12,511
Income taxes, net of refunds	4,231	2,591	1,908

Appendix G - Revenue Breakdown by segment



Appendix H – Three year financial projections

Morgan Stanley

Consolidated Income statement (in millions)	2021	2022 (Year +1)	2023 (Year +2)	2024 (Year +3)
Net Revenues	\$59,755.00	\$56,319.09	\$59,191.36	\$62,210.12
Less Provision for credit losses	\$4.00	\$3.77	\$3.96	\$4.16
Less Total Non-Interest Expenses	\$40,083.00	\$37,778.23	\$39,704.92	\$41,729.87
Income before provision for income taxes	\$19,668.00	\$18,537.09	\$19,482.48	\$20,476.09
Provision for income taxes	\$4,548.00	\$4,286.49	\$4,505.10	\$4,734.86
Net Income	\$15,120.00	\$14,250.60	\$14,977.38	\$15,741.23
Net income applicable to noncontrolling interests	\$86.00	\$81.06	\$85.19	\$89.53
Net income applicable to Morgan Stanley	\$15,034.00	\$14,169.55	\$14,892.19	\$15,651.69

MORGAN STANLEY - FINANCIAL HEALTH AND PERFORMANCE

Appendix I – Quarterly comparison of Income statement

Morgan Stanley

Consolidated Income Statement Information

(unaudited, dollars in millions)

	Quarter Ended			Percentage Change From:		Nine Months Ended		Percentage Change
	Sep 30, 2022	Jun 30, 2022	Sep 30, 2021	Jun 30, 2022	Sep 30, 2021	Sep 30, 2022	Sep 30, 2021	
Revenues:								
Investment banking	\$ 1,373	\$ 1,150	\$ 3,013	19%	(54%)	\$ 4,281	\$ 8,413	(49%)
Trading	3,331	3,597	2,861	(7%)	16%	10,911	10,416	5%
Investments	(168)	23	45	*	*	(70)	744	*
Commissions and fees	1,133	1,220	1,280	(7%)	(11%)	3,769	4,214	(11%)
Asset management	4,744	4,912	5,201	(3%)	(9%)	14,775	14,572	1%
Other	63	(52)	290	*	(78%)	245	916	(73%)
Total non-interest revenues	10,476	10,850	12,690	(3%)	(17%)	33,911	39,275	(14%)
Interest income	6,101	3,612	2,351	69%	160%	12,363	7,000	77%
Interest expense	3,591	1,330	288	170%	*	5,355	1,044	*
Net interest	2,510	2,282	2,063	10%	22%	7,008	5,956	18%
Net revenues	12,986	13,132	14,753	(1%)	(12%)	40,919	45,231	(10%)
Provision for credit losses	35	101	24	(65%)	46%	193	(1)	*
Non-interest expenses:								
Compensation and benefits	5,614	5,550	5,920	1%	(5%)	17,438	19,141	(9%)
Non-compensation expenses:								
Brokerage, clearing and exchange fees	847	878	825	(4%)	3%	2,607	2,530	3%
Information processing and communications	874	857	788	2%	11%	2,560	2,286	12%
Professional services	755	757	734	--	3%	2,217	2,104	5%
Occupancy and equipment	429	430	427	--	--	1,286	1,246	3%
Marketing and business development	215	220	146	(2%)	47%	610	438	39%
Other	829	1,020	1,015	(19%)	(18%)	2,713	2,703	--
Total non-compensation expenses	3,949	4,162	3,935	(5%)	--	11,993	11,307	6%
Total non-interest expenses	9,563	9,712	9,855	(2%)	(3%)	29,431	30,448	(3%)
Income before provision for income taxes	3,388	3,319	4,874	2%	(30%)	11,295	14,784	(24%)
Provision for income taxes	726	783	1,150	(7%)	(37%)	2,382	3,380	(30%)
Net income	\$ 2,662	\$ 2,536	\$ 3,724	5%	(29%)	\$ 8,913	\$ 11,404	(22%)
Net income applicable to nonredeemable noncontrolling interests	30	41	17	(27%)	76%	120	66	82%
Net income applicable to Morgan Stanley	2,632	2,495	3,707	5%	(29%)	8,793	11,338	(22%)
Preferred stock dividend	138	104	123	33%	12%	366	364	1%
Earnings applicable to Morgan Stanley common shareholders	\$ 2,494	\$ 2,391	\$ 3,584	4%	(30%)	\$ 8,427	\$ 10,974	(23%)

Appendix J – Third quarter comparison 2022 and 2021

Financial Summary^{2,3}		
Firm (\$ millions, except per share data)	3Q 2022	3Q 2021
Net revenues	\$12,986	\$14,753
Provision for credit losses	\$35	\$24
Compensation expense	\$5,614	\$5,920
Non-compensation expenses	\$3,949	\$3,935
Pre-tax income ⁸	\$3,388	\$4,874
Net income app. to MS	\$2,632	\$3,707
Expense efficiency ratio ⁶	74%	67%
Earnings per diluted share	\$1.47	\$1.98
Book value per share	\$54.46	\$54.56
Tangible book value per share	\$39.93	\$40.47
Return on equity	10.7%	14.5%
Return on tangible equity ⁴	14.6%	19.6%
Institutional Securities		
Net revenues	\$5,817	\$7,495
Investment Banking	\$1,277	\$2,849
Equity	\$2,459	\$2,876
Fixed Income	\$2,181	\$1,640
Wealth Management		
Net revenues	\$6,120	\$5,935
Fee-based client assets (\$ billions) ⁹	\$1,628	\$1,752
Fee-based asset flows (\$ billions) ¹⁰	\$16.7	\$70.6
Net new assets (\$ billions)	\$64.8	\$134.5
Loans (\$ billions)	\$145.7	\$121.2
Investment Management		
Net revenues	\$1,168	\$1,453
AUM (\$ billions) ¹¹	\$1,279	\$1,522
Long-term net flows (\$ billions) ¹²	\$(1.9)	\$(2.3)

Appendix K – Revenue and Net income projections for three years

Date	Revenue	Net Income *	Cash Flow	Avg. No. Analysts
12/30/2024	59,281.734	13,382.897	-	18
12/30/2023	56,544.115	12,326.647	-	23
12/30/2022	54,167.461	11,256.617	-	22

NYSE:MS Future Estimates Data (USD Millions)

Appendix L – Future growth projections by analysts

Data Point	Source	Value (per year)
NYSE:MS Future Earnings Growth Rate	Line of Best Fit* through Consensus Estimate Earnings of 23 Analysts	8.6%
NYSE:MS Future Revenue Growth Rate	Line of Best Fit* through Consensus Estimate Revenue of 23 Analysts	5.1%

Appendix M - Best-Case Projected Statement of Income

Consolidated Income statement (in millions)	2021	2022 (Year +1)	2023 (Year +1)	2023 (Year +2)	2024 (Year +2)	2024 (Year +3)	2025 (Year +3)
Net Revenues	\$59,755.00	\$62,748.73	\$2,993.73	\$65,948.91	\$3,200.19	\$69,312.30	\$3,363.39
Less Provision for credit losses	\$4.00	\$4.20		\$4.41		\$4.64	
Less Total Non-Interest Expenses	\$40,083.00	\$42,091.16	\$2,008.16	\$44,237.81	\$2,146.65	\$46,493.94	\$2,256.13
Income before provision for income taxes	\$19,668.00	\$20,653.37		\$21,706.69		\$22,813.73	
Provision for income taxes	\$4,548.00	\$4,775.85		\$5,019.42		\$5,275.41	
Net Income	\$15,120.00	\$15,877.51	\$757.51	\$16,687.27	\$809.75	\$17,538.32	\$851.05
Net income applicable to noncontrolling interests	\$86.00	\$90.31		\$94.91		\$99.75	
Net income applicable to Morgan Stanley	\$15,034.00	\$15,787.20	\$753.20	\$16,592.35	\$805.15	\$17,438.56	\$846.21